

insider trading. Just ask Martha Stewart. She went to jail for trading on inside information she received from the CEO of ImClone Systems, Inc. You could go to prison even if you receive no monetary benefit from passing someone else inside information. One famous case involved a Wall Street investment banker who past inside information to a prostitute in exchange for sexual favors. They both went to jail.

Even if you or your investment advisor do figure out something that others have not yet realized, you don't know if it's important information or if it's noise. Those people who can tell the difference are few and far between. Charlie Munger, the legendary investor and vice chairman of Berkshire Hathaway, explained to attendees at the 2004 annual shareholders meeting that Warren Buffett (CEO of Berkshire Hathaway) has been successful because he had a natural gift to sift through thousands of pieces of information and pick out the one or two items that had real market-moving relevance. He then said that the typical investor, including most professionals, spend too much time on irrelevant issues and miss the important things.

There are many people who claim that the markets are inefficient and that they can gain excess profits. Well, that's what they say. However, it is not true for a vast majority of investors. For the mere mortals among us, the markets might as well be efficient because we are not Warren Buffett, and neither are the advisors we visit. Consequently, we are not going to tap into the excess returns that may be available from time to time in an inefficient market.

HOT FUNDS AND COLD RETURNS

It often appears easy to forecast future market trends, because many market gurus claim that they have. But this is more marketing than fact. The gurus talk only about their winners. There is no independent study that confirms skill among the television personalities.

In truth, fads are difficult to forecast and more difficult to make money investing in. By the time you recognize something as a fad, the price of the stocks are already sky-high. Back in the early 1980s, only a handful of people predicted that home computers would become a household appliance. The name "Microsoft" could easily have been confused with that of a brand of bathroom tissue. Who would have guessed that Microsoft